IN THE SUPREME COURT OF OHIO

In the Matter of the Application of Ohio Edison Company, The Cleveland Electric Illuminating Company, and The Toledo Edison Company for Authority to Provide a Standard Service Offer Pursuant to R.C. 4928.143 in the Form of an Electric Security Plan.	**:**	**Case No. 17-1444 & 17-1664 (consolidated)**
	:	**On Appeal from the Public Utilities Commission of Ohio, Case No. 14-1297-EL-SSO**

MOTION FOR RECONSIDERATION OF OHIO EDISON COMPANY, THE CLEVELAND ELECTRIC ILLUMINATING COMPANY AND THE TOLEDO EDISON COMPANY

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This appeal required the Court to determine whether the Public Utilities Commission of Ohio (Commission) acted reasonably and lawfully when it authorized a Distribution Modernization Rider (Rider DMR) under R.C. 4928.143(B)(2)(h) for inclusion in the fourth electric security plan (ESP) of Ohio Edison Company, The Cleveland Electric Illuminating Company and The Toledo Edison Company (Companies). ESPs may include **any** "**provisions regarding the utility's distribution service, including, without limitation** . . . , provisions regarding single issue ratemaking, a revenue decoupling mechanism or any other incentive ratemaking, and provisions regarding distribution infrastructure and modernization incentives for the electric distribution utility." R.C. 4928.143(B)(2)(h) (emphasis added). Four members of the court – in a plurality opinion authored by Justice Donnelly and a concurrence authored by Justice DeWine – held that Rider DMR is not an "incentive" under R.C. 4928.143(B)(2)(h).

The Companies respectfully move for reconsideration of the Court's June 19, 2019 Opinion because the plain language of R.C. 4928.143(B)(2)(h) requires the Court to determine whether Rider DMR is a provision regarding distribution service. R.C. 4928.143(B)(2)(h) broadly authorizes **any** provisions regarding the Companies' distribution service and lists several **non-exclusive** (i.e., non-limiting) examples. The question left unaddressed and unanswered by the plurality and concurring opinions is whether Rider DMR is a provision regarding the Companies' distribution service. The Court's finding that Rider DMR is not an "incentive" is not dispositive of this broader question. Importantly, the Commission approved Rider DMR on two separate and independent grounds – as an incentive **and** as a provision regarding the Companies' distribution service, specifically a provision that gives the Companies access to capital markets in order to make distribution investments. As argued by the Companies below, this second ground also qualifies Rider DMR as single-issue ratemaking, one of the specific

examples of provisions regarding distribution service enumerated in R.C. 4928.143(B)(2)(h). Neither the plurality opinion nor Justice DeWine's concurrence addressed the Commission's second ground for approving Rider DMR under R.C. 4928.143(B)(2)(h). This plainly is grounds for reconsideration so that the Court may complete the analysis required by statute.

By completing its analysis of R.C. 4928.143(B)(2)(h), the Court not only will satisfy the statutory mandate but also will provide important guidance for all utilities in Ohio and the Commission regarding the scope of this provision. In other contexts, this Court consistently has found that the General Assembly's use of "including" or "including, without limitation" in a statute indicates a partial, non-exhaustive list. The Court should find that "including, without limitation" has the same meaning in R.C. 4928.143(B)(2)(h), which necessarily requires analysis of all words used in the statute – both the broad category preceding this phrase and each of the sub-categories following it. There is no basis here to disregard the Court's long-standing precedent, particularly when such an interpretation would be a serious and substantial limitation on the authority of the General Assembly. Thus, the Court should grant reconsideration to correct this error of law.

A. The Court's Opinion Resolved Only One of the Commission's Two Grounds for Approval of Rider DMR Under R.C. 4928.143(B)(2)(h).

The Commission approved Rider DMR in its Fifth Entry on Rehearing. In paragraph 185 of the Fifth Entry, the Commission stated its **two** grounds for approving Rider DMR:

> Rider DMR will provide a needed incentive to the Companies to focus innovation and resources on grid modernization. *Further*, Rider DMR will address a demonstrated need for credit support for the Companies in order to ensure that the Companies have access to capital markets in order make investments in their distribution system.

Fifth Entry, ¶ 185 (emphasis added). Similarly, the Commission's Merit Brief separately argued the first ground and second ground for approval of Rider DMR.[1] The facts supporting the second ground are set out in paragraphs 192-95 of the Fifth Entry, namely that Rider DMR is a provision regarding distribution service under R.C. 4928.143(B)(2)(h) because it prevents a downgrade of the Companies' credit rating and thereby enables cost-effective access to capital markets for purposes of investing in distribution infrastructure.

Yet the Court's Opinion addressed only the "incentive" ground and not the Companies' "access to capital" ground for approving Rider DMR. Indeed, the concurrence asserts that the case "turns on the meaning of the word incentive" and concludes that Rider DMR "is not an incentive and hence not authorized under R.C. 4928.143(B)(2)(h)." Opinion, ¶¶ 57, 58 (DeWine, J., concurrence). Neither the plurality opinion nor the concurrence considered the "access to capital" ground for approval of Rider DMR, and neither considered whether Rider DMR was authorized by any other part or sub-part of R.C. 4928.143(B)(2)(h).

B. The Court Should Reconsider its Opinion to Address, Consistent with the Plain Language of R.C. 4928.143(B)(2)(h), Whether Rider DMR is a Provision Regarding the Companies' Distribution Service or Single-Issue Ratemaking.

The Court's plurality and concurring opinions misread R.C. 4928.143(B)(2)(h) by focusing exclusively on whether Rider DMR is a "distribution modernization incentive." The Commission also has authority under R.C. 4928.143(B)(2)(h) to approve any provision regarding a utility's distribution service, including, without limitation, a single-issue ratemaking provision. In the Companies' ESP proceeding, the Commission found that Rider DMR was a reasonable

[1] Commission's Merit Brief, pp. 7-11 ("access to capital" argument) and pp. 11-14 ("incentive" argument). Both arguments were preceded by the same heading – "The DMR is contemplated under R.C. 4928.143(B)(2)(h)." This may not have made the separation of arguments clear to the Court.

provision regarding the Companies' distribution service because it would ensure that the Companies have access to capital markets (which access clearly was threatened) in order to make investments in their distribution system. Fifth Entry, ¶¶ 185, 192-95, 281. Even if Rider DMR is not an incentive, the Commission had authority to approve Rider DMR under the plain language of R.C. 4928.143(B)(2)(h) because Rider DMR is a provision regarding the Companies' distribution service.

In the alternative, if the Court determines that the Commission may approve only the distribution provision examples listed in division (B)(2)(h) – provisions regarding single issue ratemaking, a revenue decoupling mechanism or any other incentive ratemaking, and provisions regarding distribution infrastructure and modernization incentives for the electric distribution utility – then the Commission had authority to approve Rider DMR as a single-issue ratemaking provision. *See* Fifth Entry, ¶¶ 127, 185. *See also id.*, ¶ 290 ("R.C. 4928.143(B)(2)(h) explicitly authorizes 'single issue ratemaking' ***and*** 'incentive ratemaking.'" (emphasis added)). The Companies made this argument below. *See* Fifth Entry, ¶ 127. Rider DMR addresses the single issue of the Companies' demonstrated need to maintain the Companies' investment grade credit rating, access capital markets at a reasonable cost and borrow the billions of dollars needed for grid modernization.

The Court should grant reconsideration because the plain language of R.C. 4928.143(B)(2) requires further analysis by the Court. The Court found that Rider DMR is not a distribution modernization incentive. Now, the Court must determine whether Rider DMR is a provision regarding the Companies' distribution service or, in the alternative, whether Rider DMR is a single-issue ratemaking provision.

C. The Court Should Grant Reconsideration Because Distribution Provisions in an ESP Approved Under R.C. 4928.143(B)(2)(h) Are Not Limited to the Four Categories Specifically Authorized Therein.

The Court's exclusive focus on whether Rider DMR is an incentive suggests, wrongly, that the Commission is limited to approving only the four categories of distribution provisions that follow "including, without limitation" in R.C. 4928.143(B)(2)(h). But "including, without limitation" does not mean "including only the following." The Court has never interpreted "including, without limitation" in this manner. Instead, the Court has interpreted this language to mean that what follows is a partial list of items that easily qualify as examples of the category that precedes the list. *See, e.g.*, *State v. Anderson*, 138 Ohio St.3d 264, 2014-Ohio-542, 6 N.E.3d 23, ¶ 45 (list is illustrative, not exhaustive); *State v. Thompson*, 92 Ohio St. 3d 584, 588, 752 N.E.2d 276 (2001) (same); *State v. Lozano*, 90 Ohio St. 3d 560, 562, 740 N.E.2d 273 (2001) (same). *See also Chesapeake Exploration, L.L.C. v. Buell*, 144 Ohio St.3d 490, 2015-Ohio-4551, 45 N.E.3d 185, ¶ 35 ("[t]he word 'including' indicates a partial list" that is not exhaustive or otherwise limiting). Decades of well-established Supreme Court precedent make clear that the use of "including" in a statute (let alone the more emphatic "including, but not limited to") denotes a partial listing, not an exhaustive one. Thus, R.C. 4928.143(B)(2)(h) authorizes provisions regarding a utility's distribution service, and the four items that follow are a partial list of such provisions.

The language in division (B)(2)(h) can and should be distinguished from the "include, without limitation, any of the following" language that appears in division (B)(2). The Court found in *In re Columbus S. Power Co.*, 128 Ohio St.3d 512, 2011-Ohio-1788, 947 N.E.2d 655, ¶ 32, that "R.C. 4928.143(B)(2) allows plans to include only 'any of the following' provisions. It does not allow plans to include 'any provision.'" In contrast, R.C. 4928.143(B)(2)(h) broadly allows any provisions regarding a utility's distribution service, which may include, but are not

limited to, the four sub-categories set out therein. Any reading of the statute that ignores this distinction is clearly erroneous and must be corrected. If a statute authorizes "any ice cream, including, without limitation, vanilla, strawberry, chocolate or butter pecan," then any type of ice cream will do. But here, the Court asked only whether Rider DMR was one of several non-exhaustive sub-categories (the "butter pecan"), without also deciding whether it related to distribution service.

The Court's exclusive focus on "incentives" creates grave concern that the Court is attempting to limit the Commission's authority granted to it by the General Assembly. The Court's analysis must begin with the language of the statute, and the Court must give effect to the words used, making neither additions nor deletions from the words chosen by the General Assembly. *In re Application of Ohio Power Co.*, 140 Ohio St.3d 509, 2014-Ohio-4271, 20 N.E.3d 699, ¶¶ 20, 24; *In re Columbus S. Power Co.*, 138 Ohio St.3d 448, 2014-Ohio-462, 8 N.E.3d 863, ¶ 26. *See also Ohio Neighborhood Fin., Inc. v. Scott*, 139 Ohio St.3d 536, 2014-Ohio-2440, 13 N.E.3d 1115, ¶ 26 (Court cannot rewrite unambiguous statute); *State v. Tolliver*, 140 Ohio St.3d 420, 2014-Ohio-3744, 19 N.E.3d 870, ¶ 10 ("It is our duty 'to give effect to the words used, not to delete words used or to insert words not used.'"); *Armstrong v. John R. Jurgensen Co.*, 136 Ohio St.3d 58, 2013-Ohio-2237, 990 N.E.2d 568, ¶ 12 ("The court may not delete or insert words, but must give effect to the words the General Assembly has chosen."). The Court cannot add "any of the following" to division (B)(2)(h). Nor can the Court impose conditions that do not appear in the plain language of division (B)(2)(h). Nor can the Court decide which kinds of distribution provisions may or may not be approved under division (B)(2)(h). This is within the sound discretion of the Commission. If there is concern that

division (B)(2)(h) is too broad, then recourse is to the General Assembly, not this Court. On reconsideration, the Court should give effect to all of the words in R.C. 4928.143(B)(2)(h).

Accordingly, the Companies request that this Court reconsider and vacate its Opinion and give due consideration to the arguments set forth herein and render an Order on Reconsideration consistent with those arguments.

Respectfully submitted,

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CERTIFICATE OF SERVICE

I hereby certify that a copy of the foregoing Motion for Reconsideration was delivered to the following parties via e-mail this 1st day of July, 2019:

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